WEEK 5 · LECTURE L1 · UNIT I

Balanced Scorecards and Agile Goals

Kaplan and Norton, the causality critique, how measurement changes behavior, and how to compare goal systems.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Explain the four perspectives of the balanced scorecard and its claimed logic.
- Evaluate the critique that the scorecard's causal chain is assumed, not tested.
- Apply Kerr and Campbell to predict measurement dysfunction.
- Compare MBO, OKRs, the balanced scorecard and KPI dashboards.

COURSE OUTCOMES

CLO 1 (design performance management systems aligned with balanced scorecard and OKR frameworks).

COMMIT BEFORE THEORY

If we measure the right things, people will do the right things.

Agree or disagree. Give one example where measuring changed behavior for the worse.

Four perspectives

Perspective	Question
Financial	How do we look to shareholders?
Customer	How do customers see us?
Internal process	What must we excel at?
Learning and growth	Can we continue to improve and create value?

EXAM LENS

The claimed logic runs upward: learning improves processes, which please customers, which produce financial results.

THEORY IN DEPTH · KAPLAN AND NORTON (1996)

Translating strategy into action

THE CORE IDEA

Financial measures alone look backward; a balanced set of measures can steer strategy.

HOW IT WORKS

Strategy is mapped into objectives and measures across four perspectives, then cascaded to units and people.

LIMITS AND CRITIQUE

The causal links between perspectives are assumed rather than tested, and scorecards can grow too long.

IN PRACTICE

A hospital adds patient experience and staff training measures beside its revenue measures.

EXAM LENS

Use it for alignment questions. Its weakness is causality, so cite Nørreklit (2000) as the critique.

THEORY IN DEPTH · NØRREKLIT (2000)

Is the causality real?

THE CORE IDEA

The links between the scorecard's perspectives are often logical definitions, not tested cause and effect.

HOW IT WORKS

The model also ignores time lags: learning investments pay off years later, while scorecards report each quarter.

LIMITS AND CRITIQUE

A conceptual critique; it questions the logic more than it tests outcomes.

IN PRACTICE

A firm cuts training to meet a quarterly cost target; the learning measure falls two years later.

EXAM LENS

Cite it to evaluate the scorecard critically. A strong answer suggests testing the links with the firm's own data.

MEASUREMENT CHANGES BEHAVIOR

Two classic warnings

KERR (1975)

Organizations reward A while hoping for B, then wonder why they get A.

CAMPBELL (1979)

The more a quantitative indicator is used for decisions, the more it is open to corruption pressure.

KEY POINT

Every measure in a performance system is also an incentive. Ask what people will do to move it.

COMPARE AND EVALUATE

Four goal systems

System	Origin	Horizon	Best when
MBO	Drucker	Annual	Stable work, clear roles
OKRs	Grove, Doerr	Quarterly	Fast change; stretch wanted
Balanced scorecard	Kaplan and Norton	Annual, with reviews	Strategy needs translating
KPI dashboard	Operations practice	Continuous	Processes are well understood

Drucker (1954); Doerr (2018); Kaplan and Norton (1996)

AGILE GOALS · CAPPELLI AND TAVIS (2016)

Planning under uncertainty

THE ARGUMENT

When work changes each quarter, annual goals become fiction by midyear.

THE TRADE OFF

Frequent resets keep goals relevant but can erode accountability and line of sight.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"The balanced scorecard links people to strategy." Critically evaluate. **20 marks**

A strong answer: explains the perspectives and cascade; uses Nørreklit on causality and time lags; uses Kerr and Campbell on dysfunction; proposes safeguards.

Compare OKRs and the balanced scorecard for an Indian services firm and recommend one. **20 marks**

A strong answer: contrasts purpose, horizon and transparency; matches the choice to context; names the risks of each.

Explain Campbell's law with an example. **10 marks**

A strong answer: states the law; gives a workplace example of corruption pressure; one safeguard.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. The scorecard's causal chain is assumed, so test it
2. Every measure is an incentive; expect people to move it
3. Choose the goal system by the stability of the work

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Kaplan, R. S., & Norton, D. P. (1996). *The balanced scorecard: Translating strategy into action*. Harvard Business School Press. Chapter 1.

Whitmore, J. (2017). *Coaching for performance* (5th ed.). Nicholas Brealey. Chapter on the GROW model.

Cappelli, P., & Tavis, A. (2016). The performance management revolution. *Harvard Business Review, 94*(10), 58–67.

HOW TO USE THESE

These are the Week 5 set readings. Kaplan and Norton (1996) is the core reading for this lecture.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Campbell, D. T. (1979). Assessing the impact of planned social change. *Evaluation and Program Planning, 2*(1), 67–90. https://doi.org/10.1016/0149-7189(79)90048-x

Cappelli, P., & Tavis, A. (2016). The performance management revolution. *Harvard Business Review, 94*(10), 58–67.

Doerr, J. (2018). *Measure what matters: How Google, Bono, and the Gates Foundation rock the world with OKRs*. Portfolio.

Drucker, P. F. (1954). *The practice of management*. Harper & Brothers.

Sources for this lecture (2 of 2)

Kaplan, R. S., & Norton, D. P. (1992). The balanced scorecard: Measures that drive performance. *Harvard Business Review, 70*(1).

Kaplan, R. S., & Norton, D. P. (1996). *The balanced scorecard: Translating strategy into action*. Harvard Business School Press.

Kerr, S. (1975). On the folly of rewarding A, while hoping for B. *Academy of Management Journal, 18*(4), 769–783. https://doi.org/10.2307/255378

Nørreklit, H. (2000). The balance on the balanced scorecard: A critical analysis of some of its assumptions. *Management Accounting Research, 11*(1), 65–88. https://doi.org/10.1006/mare.1999.0121